ContexAi GROUP

Economic Vibes — Morning Brief

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Morning Edition · PKT

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KSE-100 V	S&P 500 V	US 10Y / 2Y V	BRENT / WTI V	GOLD V	USD/PKR V
180,311	**▲ 0.3%**	**4.65 / 4.20**	**\$88.98 / \$83.27**	**\$4,428**	**277.66**
▲ 0.26% Wed · +465 pts	Nasdaq +0.5% · Dow ▼0.04%	cooling · Sept hike odds ~50%	little changed · Hormuz endgame near	+1.4% · silver \$66.20	interbank · steady

01 Five Things You Need To Know To Start Your Day

PSX REBOUND The **KSE-100** gained 464.53 points (+0.26%) to close at 180,311.22 on Wednesday, rebounding from Tuesday's selloff as oil & gas exploration names (Pakistan Oilfields, Mari Energies), Habib Bank and Hub Power led the recovery; breadth improved to 249 advancers versus 211 decliners on turnover of 220 million shares worth Rs20bn (**Express Tribune**, **Business Recorder**). Sentiment: **constructive**.

HORMUZ ENDGAME Pakistan's defence minister said the US and Iran are **"close to some sort of arrangement"** on reopening the Strait of Hormuz, with Islamabad racing to broker a deal before the 60-day negotiating window expires on August 16; Washington maintains it has "100% control" of the waterway while Tehran presses for sanctions relief (**Bloomberg**, **The National**). Sentiment: **cautiously optimistic**.

CPI COOLS FED BETS July US CPI matched forecasts — headline at **3.4%** y/y (from 3.5%) and core at 2.5% (from 2.6%) — pulling market-implied odds of a 25bp September Fed hike back to roughly **50%** from over 60% a week earlier, with the 10-year Treasury yield easing to 4.65% (**CNBC**, **The Motley Fool**). Sentiment: **dovish repricing**.

PRECIOUS METALS RALLY Gold rallied to **\$4,428/oz** (+1.4%) and silver jumped to \$66.20/oz (+2.5%), a multi-week high, as the cooler CPI print and lingering Hormuz risk kept safe-haven demand firm (**Kitco**). Sentiment: **firmer**.

OPEC+ SEPTEMBER HIKE OPEC+ has finalised a roughly **188,000 bpd** output increase for September, completing the phased rollback of 2023 voluntary cuts, while signalling a pause in further increases from the fourth quarter as it assesses Hormuz-linked risk (**CNBC**). Sentiment: supply normalising.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The **KSE-100** rebounded 0.26% (+465 pts) to close at 180,311.22 on Wednesday, recovering part of Tuesday's 1,464-point drop as oil & gas exploration, automobile assemblers, cement, commercial banks, fertiliser, OMCs and power generation counters attracted buying on hopes of easing Hormuz tensions; breadth improved to 249 gainers versus 211 losers on volume of 220m shares worth Rs20bn (**Express Tribune**). The **SBP** held its policy rate at 11.5% at its July 27 review for a second straight pause, even as July CPI cooled to 9.2% y/y from 11.1% (food inflation still accelerated to 10.6%), keeping real rates restrictive (**Business Recorder**). Six-month KIBOR sat at roughly 11.51/11.76% as of August 7 (**SBP**). The interbank **USD/PKR** held broadly steady at 277.66 (**Business Recorder**). On the **IMF** front, Islamabad is preparing for a fifth EFF/RSF review mission next month that could unlock roughly $1.2bn, with energy circular-debt targets and privatisation progress the key sticking points (**ProPakistani**).

B. GCC & Middle East

OPEC+ has finalised a further **188,000 bpd** output increase for September — the alliance's sixth straight monthly hike this year, completing the rollback of 2023 voluntary cuts — while signalling a pause in additional increases from the fourth quarter as it monitors Hormuz-linked risk (**CNBC**). Saudi Arabia's non-oil private sector stayed in solid expansion, with the Riyad Bank PMI easing slightly to 53.1 in July from 53.3 in June on stronger domestic demand, while Kuwait's reading rebounded over the same stretch (**Business Recorder**, **AGBI**). The **PIF**, chaired by Crown Prince Mohammed bin Salman, has approved its 2026–2030 strategy, pivoting from rapid asset growth toward value creation with tourism, travel and entertainment as priority sectors under **Vision 2030** (**Gulf Business**).

C. Global Intelligence

US equities closed mostly higher Wednesday — the S&P 500 rose 0.3% to 7,748.50 and the Nasdaq added 0.5% to 26,588.49, while the Dow slipped a marginal 0.04% to 53,770.27 — after July CPI matched forecasts and eased pressure on the Fed to hike in September (**Washington Post**). Headline CPI slowed to 3.4% y/y and core to 2.5%, pulling market-implied odds of a 25bp September hike back to roughly 50% from over 60% a week earlier; the **10-year Treasury yield** eased to about 4.65% on the print (**CNBC**). **Brent** and **WTI** were little changed, settling near $88.98 and $83.27 respectively, as deadly attacks on vessels in the Red Sea and Gulf of Oman kept shipping risk in focus even as Pakistan pushes to broker a US-Iran Hormuz arrangement before an August 16 deadline (**CNBC**). Gold and silver extended their advance, with gold near $4,428/oz and silver at $66.20/oz on safe-haven demand (**Kitco**).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	**Fifth IMF EFF/RSF review mission** due next month — energy circular debt, FY27 budget and privatisation progress under scrutiny for a ~$1.2bn disbursement	Banks, IPPs/Energy, Equities, Sovereign FX	**Wins:** banks and FX reserves if the tranche clears, sovereign risk premium. **Loses:** energy consumers facing tariff/circular-debt adjustment conditionality, importers if reform slippage pressures the PKR.
GCC — Saudi Arabia / OPEC+	**OPEC+ finalises ~188,000 bpd September hike**, completing the 2023 cuts rollback and signalling a Q4 pause; **PIF approves 2026–2030 strategy** prioritising tourism and entertainment	Energy, Sovereign wealth, Tourism/Entertainment, Oil-importer FX	**Wins:** oil-importing economies and consumers via incremental supply; Saudi non-oil diversification plays (tourism, leisure, entertainment). **Loses:** OPEC+ producers' per-barrel fiscal revenue as supply normalises into a Hormuz-risk-elevated market.
Global — US Federal Reserve	In-line **July CPI (3.4% headline, 2.5% core)** pulls September rate-hike odds back to roughly 50%, from over 60% the prior week	USD, Rates, EM FX (incl. PKR), Equities	**Wins:** rate-sensitive equities, EM currencies including the PKR, growth stocks. **Loses:** US dollar bulls and money-market yield-seekers as hike odds recede.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.
179,900
Wednesday's intraday low; deeper support at 178,500 (desk estimate)

PIVOT EST.
180,311
Wednesday's close

RESISTANCE EST.
180,901
Wednesday's intraday high; then Monday's close of 181,310

We read Wednesday's 465-point rebound as the market pricing in a de-escalation premium ahead of Pakistan's August 16 mediation deadline on the Hormuz standoff, reinforced by a benign US CPI print that eased Fed-hike anxiety. A close back above 180,900 would reopen the path toward Monday's 181,310 high; a slip below 179,900 would point to a retest of 178,500. Oil & gas exploration, banks and power generation — Wednesday's leaders — are the counters to watch for confirmation the dip is being bought rather than faded. All levels are indicative desk estimates, not recommendations.